

# The Rich Report

## U.S. ECONOMICS NEWS

- ◆ **Consumer Resilience:** August retail sales rose 1.2% — the strongest monthly gain in five months — beating consensus by 40 basis points, with 11 of 12 major categories advancing. “Core” sales, which strip out autos, building materials, and gasoline, rose 1.3%, putting Q3 on pace for 4.8% annualized growth and implying roughly 3.5% real GDP expansion.<sup>3</sup>
- ◆ **Fed Hikes Again:** The FOMC unanimously raised the federal funds rate 25 basis points to a 3.75–4.00% target range on September 16 — the first increase since mid-2023 — with the dot plot signaling at least one more hike before year-end, most likely in December. Chair Warsh framed the move around price stability, despite critics arguing that rate hikes cannot resolve the energy supply shock driving current inflation.<sup>3</sup>
- ◆ **Contested Rationale:** Excluding energy, consumer prices are up just 2.5% year-over-year — the smallest increase since early COVID — meaning the entire inflation acceleration above the Fed’s 2% target is energy-driven. Slower M2 money supply growth in recent years further weakens the case for tightening, with analysts noting monetary policy cannot reopen the Strait of Hormuz or end the Russia-Ukraine conflict.<sup>3</sup>
- ◆ **Mortgage Rate Reversal:** Thirty-year mortgage rates have risen roughly 60 basis points since February to approximately 6.7%, double their 2021 lows, as Iran-conflict-driven energy inflation pushed the Fed to resume tightening. Combined with high home prices, labor shortages from immigration enforcement, and tariffs on materials, affordability conditions have deteriorated sharply, pushing construction activity back to 2019 levels.<sup>3</sup>
- ◆ **Treasury Yield Milestone:** The 10-year Treasury yield closed at 5.00% on September 15, 2026 — the first close at or above that level since July 2007 — delivering a real yield of 1.60% against August’s 3.4% CPI, or 60 basis points above its 30-year historical average real yield of 1.00%. The Treasury responded by buying back up to \$6 billion in government debt in September, though actual buybacks ran nearly three times the announced amount.<sup>3</sup>

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## DIGITAL ASSETS NEWS

- ◆ **Q3 Rally:** Bitcoin surged 44% in Q3 2023, marking its first quarterly gain in over a year and defying a challenging macro backdrop — including the Federal Reserve’s aggressive rate-hiking cycle, Brent crude climbing toward \$95/barrel, and the DXY dollar index reaching multi-month highs. The resilience signaled renewed investor appetite for risk assets despite persistent headwinds that had weighed on crypto markets throughout 2022.<sup>5</sup>
- ◆ **CLARITY Act Fails Cloture Vote:** The CLARITY Act — landmark legislation that would have established a comprehensive federal framework clarifying SEC versus CFTC jurisdiction over digital assets — fell short of the 60-vote threshold needed to advance, failing 49–50 on September 15. The procedural defeat effectively shelves major crypto market structure reform for the remainder of 2026, dealing a significant setback to industry efforts to achieve regulatory certainty.<sup>5</sup>
- ◆ **CFTC Moves Unilaterally Amid Legislative Gridlock:** With the CLARITY Act stalled in Congress, the CFTC submitted a formal crypto market regulatory framework to the White House Office of Information and Regulatory Affairs for review — a procedural step required before rules take effect. The move signals the agency is leveraging its existing statutory authority over derivatives and commodities rather than waiting for lawmakers to establish a new legislative mandate.<sup>5</sup>
- ◆ **Digital Asset Tax Certainty Act:** Introduced to address longstanding friction in everyday crypto transactions — where even small purchases trigger taxable events — the bill aimed to establish clearer exemptions for routine digital asset use. However, Trump’s deep financial entanglements with the crypto industry, including his own memecoin ventures, fueled conflict-of-interest concerns among skeptical lawmakers, complicating the legislation’s bipartisan appeal.<sup>5</sup>
- ◆ **Nasdaq Backs Kraken with \$100M Strategic Investment:** Nasdaq invested \$100M in Kraken’s parent company Payward at a \$21B valuation, marking a significant convergence of traditional finance and crypto infrastructure. The capital is earmarked to expand tokenized stock capabilities, enabling Kraken to offer blockchain-based representations of equities — a move that positions the exchange as a bridge between conventional securities markets and the emerging on-chain economy.<sup>5</sup>

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## GEOPOLITICS NEWS

- ◆ **China:** New Chinese border control rules take effect Tuesday, allowing authorities to ban citizens from leaving the country for six months to three years if they engage in activities endangering national or industrial security, including technology export violations.<sup>1</sup>
- ◆ **Greenland/US/Denmark:** Trump announced a security deal with Greenland on Friday, expected to be signed this week, that relieves geopolitical pressure from months of US maneuvering and opens the door to American investment on the resource-rich Arctic island.<sup>1</sup>
- ◆ **India:** India received \$12 billion in semiconductor investment pledges from global and domestic companies within months of launching a new chip policy backed by a \$13.4 billion government fund.<sup>1</sup>
- ◆ **Iran:** A Pentagon inspector general report covering Operation Epic Fury through June 30 details hundreds of damaged or destroyed structures at US bases across the Middle East, roughly \$184 million in damage to US diplomatic facilities, and significant munitions shortfalls. Iran separately claimed it struck a Togo-flagged oil tanker attempting to transit the Strait of Hormuz, which the IRGC Navy warned would face “destruction” for unauthorized passage.<sup>1</sup>
- ◆ **Persian Gulf/Energy:** Commodity vessel transits through the Strait of Hormuz fell to just three ships on Wednesday, down from 12 the prior day and well below the 10-day average of roughly 17, based on preliminary ship-tracking data.<sup>1</sup>
- ◆ **Russia/US:** The US Justice Department charged five alleged Russian intelligence agents with conspiracy to conduct murders and attacks globally, including an attempted assassination of a prominent Russian dissident living in the United States.<sup>1</sup>
- ◆ **Ukraine:** Ukraine proposed a record 2027 defense budget of 4.89 trillion hryvnias (\$110 billion), two-thirds of total projected spending, as the daily cost of the war has risen to \$190 million from \$116 million in 2022. Kyiv will require more than \$52 billion in international financial aid next year as revenues fail to keep pace with war costs.<sup>1</sup>
- ◆ **United Nations/Global:** World leaders gathered at the UN General Assembly this week amid wars in Iran, Gaza, Ukraine, Sudan, Congo, and Myanmar, alongside concerns over AI, climate change, and economic inequality. The meeting also faces questions about UN reform — including updating Security Council veto powers still held by WWII victors — and who will succeed Secretary-General Guterres, whose term ends December 31.<sup>1</sup>

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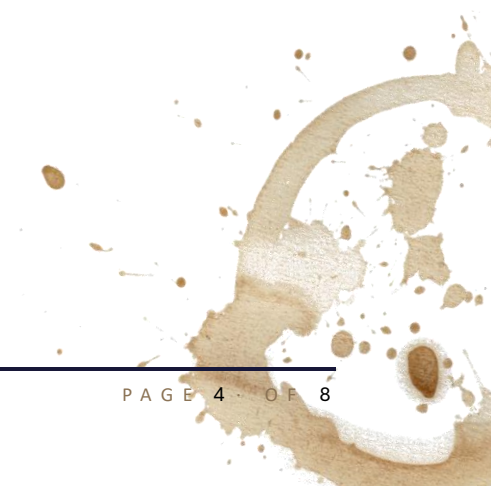
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## THE GOOD NEWS

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- ◆ **Record Income:** U.S. median household income reached \$87,460 in 2025, the highest inflation-adjusted level ever recorded, according to the Census Bureau. The poverty rate held steady at 13.1%, and the share of Americans without health insurance remained flat — signs of broad economic resilience even as cost-of-living pressures persisted.<sup>2</sup>
- ◆ **Solar Milestone:** U.S. solar capacity now generates enough electricity to power over 50 million homes — more than a third of all households. The industry added 11.4 GW in Q2 2026 alone, a 45% year-over-year jump, reflecting accelerating deployment as solar becomes an increasingly central part of the American energy grid.<sup>2</sup>
- ◆ **Nuclear Streamlining:** The U.S. Nuclear Regulatory Commission is overhauling its licensing process, targeting an 18-month approval timeline for new reactors, down from a process that historically took decades. The reforms support the Trump administration's goal of quadrupling nuclear capacity by 2050 to meet surging electricity demand from EVs, data centers, and crypto mining.<sup>2</sup>
- ◆ **Safer NYC:** New York City recorded its safest summer for gun violence in history. From June through August 2026, there were 195 shooting incidents and 66 murders — both all-time lows, beating records set as recently as 2025. The city has now broken its own safety records in consecutive years, reflecting a sustained downward trend in violent crime.<sup>2</sup>



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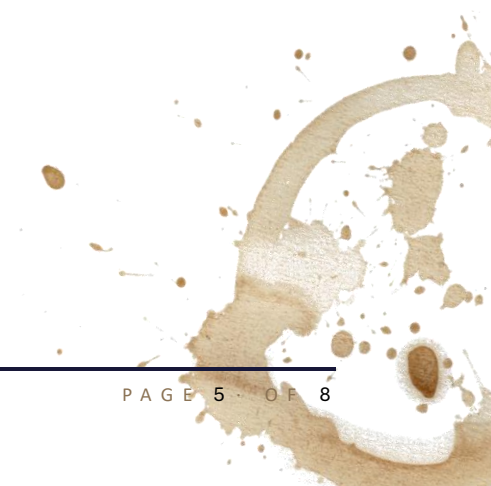
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## DIVIDEND PORTFOLIO NEWS

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- ◆ **ABT:** The Trump administration is weighing allowing most pharma licensing deals with China, which could affect Abbott's international business.<sup>4</sup>
- ◆ **NTR:** Shares declined after reports that the Trump administration is actively pursuing a Belarus potash trade deal, which if completed would reintroduce a major low-cost supplier to global markets and pressure potash pricing — a direct headwind to Nutrien's core fertilizer business.<sup>4</sup>
- ◆ **QCOM:** Qualcomm partnered with Lumentum and Corning on AI optical technology. Google's new Chromebooks feature Android integration and Gemini AI, intensifying platform competition.<sup>4</sup>
- ◆ **SPGI:** S&P Global agreed to acquire OpenZeppelin, a blockchain security firm, expanding its on-chain risk assessment capabilities.<sup>4</sup>
- ◆ **STLD:** Steel Dynamics issued below-consensus Q3 earnings guidance, sending shares lower. The miss reflects softening steel pricing and demand, consistent with broader weakness across the domestic steel sector.<sup>4</sup>



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## GROWTH PORTFOLIO NEWS

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- ◆ **HOOD:** Robinhood surged 9% as the SEC granted conditional exemptive relief enabling tokenized stock trading, directly benefiting its business model.<sup>4</sup>
- ◆ **MRVL:** Marvell demonstrated industry-first 2nm optical interconnect technology for data centers in a meaningful technical milestone in the competitive co-packaged optics race.<sup>4</sup>
- ◆ **NVDA:** Apple is reportedly considering Nvidia networking equipment for in-house servers.<sup>4</sup>

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## SUMMARY

In regard to the United States Economy, retail sales rose 1.2% in August — the strongest monthly gain in five months — putting third-quarter GDP on pace for roughly 3.5% annualized expansion. The Federal Reserve responded by raising rates 25 basis points, the first hike since mid-2023, despite core inflation running at just 2.5% annually. Critics argue monetary policy cannot resolve an energy supply shock, while mortgage rates climbed to 6.7%, pushing housing affordability to multi-year lows.

In the world of digital assets, Bitcoin posted a 44% third-quarter gain, signaling renewed risk appetite despite a challenging macro backdrop. The CLARITY Act failed its Senate cloture vote, shelving comprehensive crypto market structure reform for the year. The CFTC responded by advancing its own regulatory framework independently, and Nasdaq's \$100 million strategic investment in Kraken highlighted the accelerating convergence between traditional financial infrastructure and the emerging on-chain economy.

Recently around the globe, Strait of Hormuz transits collapsed to just three vessels in a single day, severely disrupting global energy markets. Iran simultaneously faces mounting economic pain as overland trade routes fail to offset collapsed seaborne exports. Ukraine proposed a record \$110 billion defense budget for 2027, reflecting dramatically rising war costs now in their fifth year, while China enacted strict new border controls targeting citizens involved in technology transfers amid intensifying US competition.

For the good news, U.S. median household income reached an inflation-adjusted record of \$87,460. Solar capacity now powers more than 50 million homes, with second-quarter installations jumping 45% year over year. Nuclear licensing reforms aim to compress approval timelines from decades to just 18 months. And New York City recorded its safest summer for gun violence in history, with shootings and murders both hitting all-time lows for the second consecutive year.

In the news for the dividend portfolio, Steel Dynamics issued below-consensus third-quarter guidance, reflecting softness in domestic steel pricing and demand. Nutrien shares declined on reports the administration may restore Belarusian potash to global markets, pressuring fertilizer pricing. S&P Global made a strategically notable move into digital asset infrastructure by acquiring a blockchain security firm, while Abbott declared its quarterly dividend amid international trade uncertainty and biosimilar competition risks.

And, for the growth portfolio, Robinhood surged 9% after the SEC granted conditional approval for tokenized stock trading, a direct catalyst for its business model. Marvell demonstrated industry-first 2nm optical interconnect technology, reinforcing its positioning in data center infrastructure. Nvidia remains the dominant theme, with its CEO confirming plans to double chip shipments next year as artificial intelligence demand accelerates and analysts project the semiconductor market doubling to \$3.2 trillion by 2030.

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## RESOURCES

- ◆ Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
- ◆ <https://newsletter.humanprogress.org/>
- ◆ Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
- ◆ <https://seekingalpha.com/>
- ◆ <https://www.coindesk.com/latest-crypto-news>

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